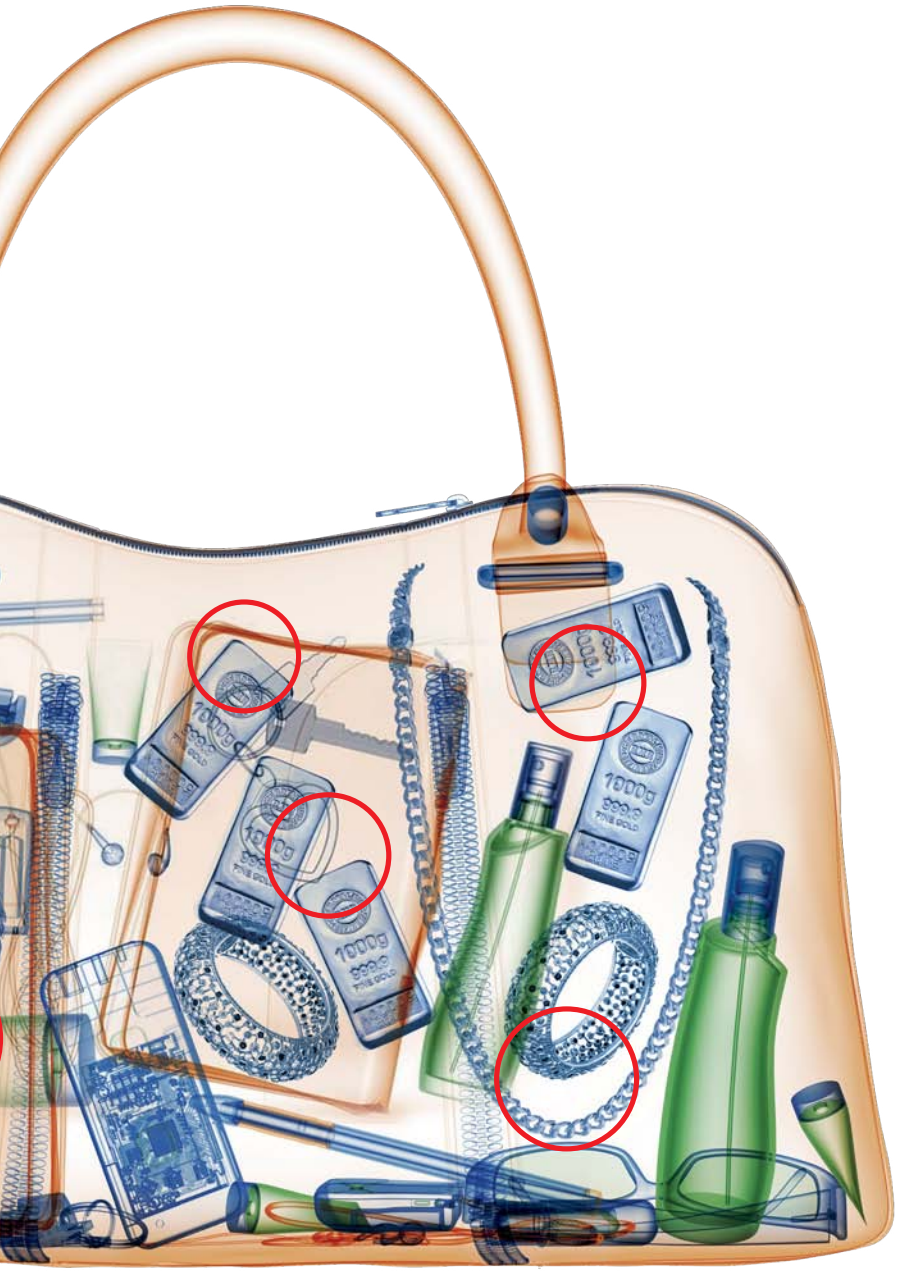


₹9,666 CRORE
Value of gold seized in 29,506 cases between 2012 and June 2022 in India

₹1.62 LAKH CRORE
Worth of gold is smuggled into India every year, 30 per cent of licit import value

₹8,000 PER 10 GRAMS
Taxes Indians pay on gold they buy in the country. Govt earns Rs 1 lakh crore from over 1,000 tonnes of import alone

However, Sitharaman, while releasing the DRI report, dismissed any significant correlation between higher levies leading to higher gold smuggling. "No, smuggling seems to have its own cycle. Smuggling seems to have its own pattern," she said.

The past decade has seen a surge in gold being brought illegally into the country. According to data tabled in Parliament by the finance ministry in July, agencies such as the customs and DRI have seized gold worth more than Rs 9,661 crore in 29,506 cases between 2012 and June 2022 across the country. Of these, 1,543 were reported in the first six months of 2022 alone. In less than three years, they have seized 7,287 kg of gold—3,626 kg in 2019-20, 1,944 kg in 2020-21 and 1,717 kg up to November 2021. In the current financial year, DRI has already seized gold worth Rs 373.83 crore in 166 cases up to October. The Central Board of Indirect Taxes and Customs did not respond to queries.

These seizures are only a fraction of at least 300 tonnes smuggled every year, says a 2021 report by the India Gold Policy Centre, IIM Ahmedabad. In 2021, this would have amounted to almost 30 per cent of the legitimate import of 1,067 tonnes—the highest in the decade of raised import duty, says the Gem & Jewellery Export Promotion Council. The World Gold Council estimated that for 800 tonnes of licit imports, 20 per cent or 160 tonnes is smuggled. But its estimates were for the year when gold duty was just imposed and considerably less than what is today. The DRI report on Gold Smuggling says that smuggling rises along with rising legal imports. The average annual import of gold to India before 2021 was between 700 and 800 tonnes.

Indians pay Rs 8,000 in taxes for every 10 grams of gold they buy in the country. While the government earns nearly Rs 1 lakh crore in revenue annually from over 1,000 tonnes of gold imported legally, it loses about Rs 30,000 crore to smuggling. This loss is the net profit for smugglers—about Rs 8 lakh per kg. And it is easier to buy illicit gold against cash. Air passengers are willing to be couriers for a free ticket or